

Funding Agreement Variation Policy

Last Updated: June 2025



Australian Government
Australian Renewable
Energy Agency

ARENA

1. Overview

For the purposes of this Variation Policy, a variation is a change to the terms and conditions of an agreement under which ARENA provides financial assistance to a Recipient (**Funding Agreement**). Unless the context otherwise requires, capitalised terms used in this Variation Policy that are defined in ARENA's Funding Agreements have the same meaning.

Financial assistance is awarded by ARENA following rigorous due diligence and technical review of an application and in some cases, financial assistance is awarded following a competitive process.

Under the standard terms of ARENA's Funding Agreements, funds may only be used for the purposes for which they were provided and, accordingly, any proposed changes to a Funding Agreement need to consider that original decision. Variations will not be approved unless ARENA is satisfied that the variation will not impact the Project's overall merit, represents value for money and will not give rise to any other probity issues.

A request for a variation to the Funding Agreement from a Recipient must be submitted in a timely manner and, in any event, as soon as practicable before the proposed date of effect. A variation request from a Recipient should comply with the requirements of, and be requested in accordance with, the relevant Funding Agreement. As a minimum, variation requests must be in writing and contain sufficient detail to allow assessment of the variation request to be made by ARENA.

Each variation request will be considered based on its individual circumstances and may be considered in the context of any previous variation requests, having regard to the principles outlined in this Variation Policy. As part of making any decisions with respect to variation requests, ARENA will take into consideration any other matters that are considered by ARENA as relevant to the Project.

Grant recipients intending to request a variation to the funding agreement should first contact their relevant ARENA Client Manager for advice on the process.

Funding Agreement Variation Policy	
VERSION	6
APPROVED BY	ARENA Chief Executive Officer
FIRST APPROVAL DATE	8 February 2018
LAST AMENDED	June 2025
DATE OF NEXT REVIEW	June 2026



2. Principles To Be Applied in Considering Variations

The following outlines how material ARENA typically categorises different changes to the ARENA funding agreement, and how ARENA approaches considering such requests from grant recipients.

2.1 VARIATIONS THAT WILL NOT GENERALLY BE ACCEPTED

Other than in exceptional circumstances, as determined by ARENA in its sole discretion, ARENA will generally not accept requests for variation of a Funding Agreement that:

- (a) give effect to a proposed secondary or additional stage of a Project where such additional stage was not contemplated at the outset by the parties;
- (b) otherwise extend or expand the scope of a program of work beyond the agreed Outcomes of the Project;
- (c) have retrospective effect; or
- (d) seek further ARENA Funding.

If exceptional circumstances are found and ARENA has decided to consider a variation request of the type listed above, ARENA will treat the variation request as a material variation for the purposes of this Variation Policy (**Material Variation**).

If ARENA has decided not to accept a variation request of the type listed above, Recipients should discuss with ARENA whether it is appropriate to submit a new proposal through an ARENA program.

2.2 NON-MATERIAL VARIATIONS

A Non-Material Variation for the purposes of this Variation Policy is a variation that ARENA considers, in its sole discretion, is unlikely to impact the overall merit or value for money of the Project and does not give rise to probity issues (**Non-Material Variation**).

Provided that the proposed variation is not likely to, or will not materially affect, the Project or its Outcomes, the Recipient's obligations or costs in undertaking the Project, a Non-Material Variation will generally include one of the following:

- (a) variations to the dates specified in the Project Details or Schedule 1, provided the timing change is generally not greater than 6 months;¹
- (b) variations to the Specified Personnel listed in the Project Details;
- (c) minor variations to the Knowledge Sharing Plan; and
- (d) limited changes to the elements of the Project as described in Schedule 1 of the Funding Agreement, particularly if the proposed changes result from:
 - (i) improvements to the research techniques used to achieve the Outcomes of a Project (e.g. new, cheaper or more accurate technique or technology becomes available);
 - (ii) reasonable adaptation to changing market conditions; or
 - (iii) Budget changes that do not increase the overall ARENA Funding amount.

In deciding whether a variation request is a Non-Material Variation, ARENA will consider the variation request on its individual circumstances, as well as within the context of any previously approved Variations, and may seek further information from the recipient regarding the variation request as required.

ARENA may also engage third parties to assess the variation request, including undertaking due diligence.

¹ The overall duration of the Project needs to be considered when assessing a Non-Material Variation involving extensions of time (EoT). For example, ARENA may consider that is not appropriate to categorise a 6 month EoT to a Project of less than 6 months' duration as a Non-Material Variation.

2.3 MATERIAL VARIATIONS

A Material Variation is a variation that ARENA considers may impact the overall merit or value for money of the Project or could give rise to probity issues.

The following variations may be treated as a Material Variation:

- (a) any amendments to the Project Details or Schedule 1 not covered by Non-Material Variations (including variations to dates generally exceeding 6 months);
- (b) any changes to the Outcomes of a Project;
- (c) any material changes in a research plan;
- (d) any material changes to Project design, construction and/or commissioning;
- (e) any change in the delivery of the Project, including the physical location of delivery;
- (f) any material reductions in cash or in-kind Contributions from the Recipient or Project Participants; or
- (g) any loss or change of a Project Participant, or subcontractors approved for Major Subcontract Work, or Specified Personnel.

Where ARENA considers that the Recipient's variation request could impact the overall merit assessment or value for money of the project in a detrimental way, or raise probity concerns, and is consistent with one or more of the above mentioned criteria, ARENA may, acting in its sole discretion:

- (a) refer the variation to the ARENA Advisory Panel (AAP) or a member of the AAP, a technical due diligence adviser, probity adviser, or any other appropriate adviser for further consideration and advice;
- (b) treat the Recipient's variation as a new project and request the Recipient to submit a new funding application under an appropriate ARENA program; or
- (c) refuse the variation request and reserve the right to exercise any rights it may have under the Funding Agreement if the Recipient is found to be subsequently in breach of its obligations under the Funding Agreement.



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